

**MOCK PSPM 2 (85 marks)**

Answer all 4 questions in 2 hours, and show all calculations..Good Luck

**QUESTION 1 (20 marks)**

(a) Karaji Sdn Bhd received the bank statement dated 31 August 2021 as follows:-

| Date | Cheque No. | Details                            | Debit (RM) | Credit (RM) | Balance (RM) |
|------|------------|------------------------------------|------------|-------------|--------------|
| 1    |            | Balance b/f                        |            |             | 25,000       |
| 2    | 155449     |                                    | 150        |             | 24,850       |
| 3    |            | Deposit                            |            | 6,000       | 30,850       |
| 3    | 155448     |                                    | 750        |             | 30,100       |
| 6    | 155450     |                                    | 1,500      |             | 28,600       |
| 7    | 155451     |                                    | 8,050      |             | 20,550       |
| 7    |            | Deposit                            |            | 8,000       | 28,550       |
| 10   | 155447     |                                    | 6,350      |             | 22,200       |
| 13   |            | Deposit                            |            | 9,000       | 31,200       |
| 16   | 155453     |                                    | 8,050      |             | 23,150       |
| 20   |            | Deposit                            |            | 5,500       | 28,650       |
| 21   | 155452     |                                    | 650        |             | 28,000       |
| 22   |            | Bank Collection – Notes Receivable |            | 4,150       | 32,150       |
| 23   | 155454     |                                    | 700        |             | 31,450       |
| 27   |            | Bank Charge                        | 50         |             | 31,400       |
| 30   | 155455     |                                    | 1,000      |             | 30,400       |
|      |            |                                    |            |             |              |

The general ledger's cash account show the following entries for the month of August 2021.

**CASH BOOK (bank column only)**

| August | Details     | Cheque No. | RM     | August | Details     | Cheque No. | RM     |
|--------|-------------|------------|--------|--------|-------------|------------|--------|
| 1      | Balance b/f |            | 17,750 | 2      | Purchases   | 155450     | 1,500  |
| 2      | Sales       | 321768     | 6,000  | 4      | Purchases   | 155451     | 8,500  |
| 6      | Alias       | 045621     | 8,000  | 6      | Fauzi       | 155452     | 650    |
| 10     | Samat       | 54322      | 9,000  | 10     | Zainuddin   | 155453     | 8,050  |
| 19     | Sales       | 04763      | 5,500  | 21     | Insurance   | 155454     | 700    |
| 30     | Sarimah     | 37893      | 6,600  | 22     | Salleh      | 155455     | 1,000  |
|        |             |            |        | 23     | Purchases   | 155456     | 1,300  |
|        |             |            |        | 27     | Salary      | 155457     | 1,360  |
|        |             |            |        | 31     | Balance c/f |            | 29,790 |
|        |             |            | 52,850 |        |             |            | 52,850 |

**Additional information:**

1. All data recorded by bank are correct.
2. On July 31, 2021 Karaji Sdn Bhd has issued three (3) cheque amounted RM7,250 but not yet cleared by the bank.
3. Bank collection for Notes Receivable including interest amounted RM150.

**REQUIRED:**

- i. Prepare Bank Reconciliation Statement for Karaji Sdn Bhd on 31 August 2021.  
(5½ marks)
  - ii. Prepare the adjustment journal entries on 31 August 2021 (explanation is not required)  
(4½ marks)
- (b) On 30 November 2021; Statement of Financial Position for Kiran Sdn Bhd shows the information as below: -

|                                 |           |
|---------------------------------|-----------|
|                                 | <u>RM</u> |
| Accounts Receivable             | 53,200    |
| Allowance for Doubtful Accounts | 550       |

Transaction that occurred throughout December 2021

|                                 |           |
|---------------------------------|-----------|
|                                 | <u>RM</u> |
| Sales (20% cash)                | 180,000   |
| Receipts on Accounts Receivable | 110,000   |
| Accounts Receivable written-off | 200       |

Allowance for doubtful accounts for the year ended 31 December 2021 is estimated at 1% on Accounts Receivable's ending balance.

**REQUIRED:**

- i. Prepare journal entries to record the transaction above (explanation is not required).  
(3½ marks)
- ii. Show the T account for Accounts Receivable and Allowance for Doubtful Account.  
(5 marks)
- iii. Prepare the journal entry to record the adjustment of Allowance for Doubtful Account (explanation is not required).  
(1½ mark)

**QUESTION 2 (20 marks)**

Mahani Sdn Bhd uses perpetual inventory system. The beginning inventory , sales and purchases for the month of September 2021 are shown below:-

| Date    | Activity    | Unit | Cost/Price<br>Per unit<br>(RM) |
|---------|-------------|------|--------------------------------|
| Sept. 1 | Balance b/f | 12   | 550                            |
| 4       | Purchase    | 10   | 560                            |
| 7       | Sales       | 11   | 670                            |
| 10      | Purchase    | 10   | 570                            |
| 12      | Sales       | 8    | 670                            |
| 13      | Purchase    | 6    | 570                            |
| 19      | Sales       | 8    | 680                            |
| 21      | Sales       | 7    | 680                            |
| 23      | Purchase    | 5    | 580                            |
| 26      | Sales       | 2    | 690                            |
| 28      | Purchase    | 5    | 580                            |
| 30      | Sales       | 3    | 700                            |

**REQUIRED:**

Calculate ending inventory using the method stated and round of the answers to two decimal places:-

- (i) First-in-First-Out Method (10½ marks)
- (ii) Average Cost Method (9½ marks)

**QUESTION 3 (20 marks)**

The following information is extracted from the Statement of Financial Position of Nasawi Sdn Bhd as at 1 January 2021.

| Assets           | Cost (RM) | Accumulated Depreciation (RM) |
|------------------|-----------|-------------------------------|
| Vehicles         | 200,000   | 80,000                        |
| Office Equipment | 64,000    | 6,400                         |

Assets are depreciated as below :-

| Assets           | Depreciation rate | Method           |
|------------------|-------------------|------------------|
| Vehicles         | 20 %              | Straight Line    |
| Office Equipment | 10 %              | Reducing Balance |

The company's policy is to declare depreciation expense only in the year of acquisition. All transactions are using cheque and here are the purchased during the year 2021:-

| Assets           | Cost (RM) | Date Of Purchase  |
|------------------|-----------|-------------------|
| Vehicles         | 70,000    | 1 June 2021       |
| Office Equipment | 20,000    | 15 September 2021 |
| Vehicles         | 80,000    | 1 October 2021    |
| Office Equipment | 5,000     | 1 December 2021   |

The vehicle purchased on 1 October 2021 involved an exchange with an old vehicle that was purchased on 1 April 2018 with the cost RM100,000 and the trade-in cost is RM45,000. Nasawi Sdn Bhd issued a cheque to pay the price difference that needs to be borne from the exchange.

**REQUIRED :**

- Prepare journal entry to record the purchased and the disposal of the assets (explanation is not required). (8 marks)
- Prepare journal entry to record the depreciation of the assets at the end of accounting period (explanation is not required). (6 marks)
- Prepare the extraction of Statement of Financial Position as at 31 December 2021. (6 marks)

**QUESTION 4** (25 marks)

- (a) On 1 Januari 2021, Battuta Sdn Bhd signed a loan agreement amounted RM40,000 for duration of five (5) years from Firnas Bank with the interest rate of 10% per year and signed the Notes Payable, 12% amounted RM25,000 from Yunus Bank for duration of three (3) years.

On 1 August 2021, Battuta Sdn Bhd issued 1,000 units of bond with the value of RM500 per unit. The annual interest rate of the bonds is 6% and will be paid every 6 months.

**REQUIRED:-**

Prepare the journal entries to record transactions on the following dates (explanation is not required) :-

- i) 1 January 2021 : Issuance of Loan and Notes Payable
- ii) 1 August 2021 : Bonds issuance.
- iii) 31 December 2021 : Record the adjustment of interest expense.
- iv) 31 January 2022 : 1st interest payment to bondholders.

(11 marks)

- (b) Seri Ipoh Berhad is a limited company which has the following authorised capital:  
 Preference shares 1,000,000 units, RM5.00 per unit  
 Ordinary shares, 1,000,000 units, RM2.00 per unit

These are the extracts of Seri Ipoh Berhad Statements of Financial Position as at 31 December 2020 and 2021:

| <b>SERI IPOH BERHAD</b>                                       |                           |
|---------------------------------------------------------------|---------------------------|
| <b>STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2020</b> |                           |
| <b>EQUITY:</b>                                                |                           |
| Preference share capital, 200,000, RM5.00 per unit            | RM1,000,000               |
| Ordinary share capital, 500,000, RM2.00 per unit              | RM1,000,000               |
| Retained earnings                                             | <u>RM5,678,900</u>        |
| <b>TOTAL EQUITY</b>                                           | <u><b>RM7,678,900</b></u> |

| <b>SERI IPOH BERHAD</b>                                       |                           |
|---------------------------------------------------------------|---------------------------|
| <b>STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2021</b> |                           |
| <b>EQUITY:</b>                                                |                           |
| Preference share capital, 300,000, RM5.00 per unit            | RM1,500,000               |
| Ordinary share capital, 800,000, RM2.00 per unit              | RM1,600,000               |
| Retained earnings                                             | <u>RM6,450,380</u>        |
| <b>TOTAL EQUITY</b>                                           | <u><b>RM9,550,380</b></u> |

The company paid RM280,000 dividends for the year ended 31 December 2021.

**REQUIRED:**

Prepare the statement of changes in equity for the year ended 31 December 2021.

(7½ marks)

- (c) Mrs. Joan has been running a grocery store by the name Joan Grocer Enterprise for the past few years. The capital account on 31 December 2019 shows a balance of RM122,000. Throughout 2020; Joan Grocer Enterprise reported a net profit of RM212,000 and the drawings throughout the year by Mrs. Joan is RM62,000. Mrs Joan brought in furniture worth RM3,500 and a vehicle worth RM12,000 to be used in her business.

During 2021, Mrs. Joan invested another RM100,000 in the business and at the end of the year 2021, the net profit was reported at RM188,000 and the drawings account shows a balance of RM85,000.

**REQUIRED:**

Prepare Statement of Changes in Equity for Joan Grocer Enterprise for the year ended 31 December 2020 and 31 December 2021.

(6½ marks)

**END OF QUESTION PAPER**